

BP Company Profile: Overview and Recent Performance

Aditya Phukon
MSc Geophysics, IIT Bombay

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Company Overview

Established in 1908, BP plc stands as a major global player in the integrated oil and gas industry. Headquartered in London, the company operates in approximately 80 countries, with a portfolio spanning exploration and production, refining, and an expanding footprint in renewable energy sectors.

This report emphasizes BP's upstream division, which is responsible for the exploration, development, and extraction of crude oil and natural gas. BP's upstream activities produce around 2.4 million barrels of oil equivalent daily, making it a significant contributor to the global energy supply. As a publicly listed entity on the London Stock Exchange, BP ranks among the world's largest oil producers.

BP's upstream operations are geographically diverse, with mature production assets in regions such as the North Sea alongside emerging opportunities offshore Egypt and Indonesia. The company's performance is particularly sensitive to global demand for crude oil and natural gas.

Recent Performance

The oil and gas sector has experienced considerable challenges over the last five years, including demand shocks from the COVID-19 pandemic, geopolitical uncertainty, fluctuating commodity prices, and shifting regulatory landscapes driven by climate objectives. BP has navigated this environment through disciplined capital allocation and operational efficiencies.

Capital investments in upstream oil and gas are set to rise, targeting nearly \$10 billion annually by 2027, up from \$8.5 billion in 2024, signaling a strategic emphasis on production growth and cash generation. BP maintains a portfolio approach, balancing traditional hydrocarbons with renewable energy investments to manage risk amid sector transitions.

Operational performance in BP's upstream segment has improved, reflecting advances in extraction technology, cost control, and asset management relative to industry peers.

Challenges and Strategic Outlook

BP has confronted various strategic and operational challenges, including the sharp reduction in energy consumption during the pandemic, divestment from Russian energy holdings, and the need to adapt its strategic priorities amidst evolving climate policies. Recently, BP has shifted its focus back toward increasing oil and gas production, while still investing selectively in low-carbon energy solutions.

Successes include LNG capacity expansion in Indonesia and application of advanced seismic techniques to improve exploration efficiency. BP continues to engage in sustainability initiatives and community partnerships to support regulatory compliance and social license to operate.

*25N0006@iitb.ac.in

Looking forward, BP's strategy through 2027 aims to increase upstream reserves and production while balancing investments in renewable energy technologies. The company seeks to position itself to meet global energy demands responsibly while advancing its commitment to a lower-carbon future.

References

BP official website: <https://www.bp.com>

BP Annual Reports and Investor Presentations (2024–2025)